

DETAILED PROJECT REPORT & CREDIT EXPANSION PROFILE

Commercial Term Loan Appraisal (₹30.00 Lakhs) & Working Capital Diagnostics under CGTMSE Scheme

Enterprise Name:	Sri Murugan Agro Foods & Spices Pvt. Ltd.	Enterprise Category:	Small Enterprise (Manufacturing)
Udyam Registration:	UDYAM-TN-08-0019284	Incorporation Date:	14th November 2018
Manufacturing Unit:	Plot 42-A, SIPCOT Industrial Complex, Perundurai, Erode — 638052	NIC Activity Code:	10795 (Spices & Blended Seasonings)
Promoter & MD:	Mr. S. Karthikeyan (B.Tech Food Tech, 14 Yrs Exp)	Joint Director:	Mrs. Priya Karthikeyan (M.Com, Head of Finance)
Banking Partner:	Canara Bank, Erode Main Branch (CC A/c)	Statutory Licenses:	GST: 33AAECS8912P1ZA FSSAI: 12419008000412
Facility Requested:	Term Loan: ₹ 30.00 Lakhs (Machinery Capex)	Existing Working Capital:	Cash Credit: ₹ 20.00 Lakhs (Active Limit)

1. Executive Memorandum & Appraisal Scope

Sri Murugan Agro Foods & Spices Pvt. Ltd. operates a high-capacity spice processing facility in the prime turmeric-producing corridor of Erode, Tamil Nadu. The enterprise specializes in steam-sterilized pulverization, optical grading, and consumer packaging of high-curcumin Erode turmeric rhizomes, Guntur red chillies, coriander seed formulations, and authentic Chettinad culinary spice mixes. During Fiscal Year 2023-24, the enterprise recorded audited operating revenue of ₹ 142.50 Lakhs (₹ 1.425 Crores) with a gross margin of 22.1% and Net Profit After Tax (PAT) of ₹ 8.26 Lakhs (5.8% NPM).

This Comprehensive Project Report is submitted to financial institutions to secure a **Term Loan facility of ₹ 30.00 Lakhs** under the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE). The capital proceeds will fund the procurement and commissioning of an automated high-speed nitrogen-flushing pouch packaging machine, an advanced continuous vibratory grading sifter assembly, and civil transformer substation upgrades. The expansion will expand processing throughput from 2.0 to 4.5 metric tons per day, eliminating seasonal backlogs and unlocking packaged consumer retail distribution across Kerala and Karnataka.

PRELIMINARY APPRAISAL HIGHLIGHT: While operating fundamentals and gross profit margins remain strong (22.1%), the enterprise exhibits two significant credit risk factors: (1) **Customer concentration exposure** with single buyer Kaveri Hypermarkets accounting for **38.0% of sales** with delayed 88-day debtor realizations, and (2) **Peak Cash Credit limit utilization of 92.5%**. Both items require immediate working-capital covenants.

2. Manufacturing Infrastructure, Facility Assets & Plant Capacity

The manufacturing infrastructure is situated on a 6,500 sq.ft freehold industrial plot within the SIPCOT Industrial Growth Centre, Perundurai. The facility features specialized zoned areas for raw material fumigation, secondary dust collection, milling, formulation blending, and finished stock warehousing.

Product SKU / Line	Specification / Mesh	FY24 Output	Installed Cap. Util.	FOB Unit Realization
Pure Erode Turmeric Powder	High-Curcumin (3.8%), 100 mesh	185 MT	74.0%	■ 165.00 / kg
Guntur Steam Red Chilli	Steam sterilized, SHU 25,000	110 MT	68.7%	■ 240.00 / kg
Coriander & Cumin Powder	Dry roasted, fine sieve grade	85 MT	65.4%	■ 195.00 / kg
Chettinad Sambhar Blend	Traditional 14-spice blend	62 MT	62.0%	■ 280.00 / kg
Total Aggregate Output	Blended annual volume	442 MT	67.9% avg	—

3. Machinery Schedule & Critical Bottleneck Assessment

Active production assets comprise: (1) 25 HP Heavy Duty Impact Pulverizer (Commissioned 2018), (2) Rotary Sifter with dust-collector ducting, (3) Semi-automatic two-head pneumatic pouch sealer, and (4) 30 KVA Diesel Generator backup. The factory employs 12 full-time permanent technicians and 8 seasonal contract workers during peak harvest months (February to May).

OPERATIONAL BOTTLENECK FINDING: The existing semi-automatic packaging unit is capped at **1,200 pouches per hour**. Because milling output exceeds packaging capacity by 140%, fresh ground spices must be held in open intermediate silos for up to **96 hours**. This delay leads to volatile essential oil dissipation and aroma degradation. Commissioning the proposed nitrogen-flushing automated line will eliminate this bottleneck and increase retail shelf life from 6 to 12 months.

4. Market Distribution Channels & Customer Concentration Risk

The company distributes products through three distinct commercial channels: (a) Regional wholesale distributors in Western Tamil Nadu; (b) Organized retail supermarket chains; and (c) Institutional bulk sales to educational hostels and industrial canteens.

Client / Customer Segment	Channel Structure	FY24 Revenue	% Share	Contractual vs Actual Realization
Kaveri Hypermarkets Pvt Ltd	Supermarket Retail Chain	■ 54.15 Lakhs	38.0% [CRITICAL]	Agreed 30 days Actual 85–92 days
Kongu Wholesale Network (5 Dist.)	Regional Distributors	■ 48.45 Lakhs	34.0%	Agreed 21 days Actual 35–42 days
Nilgiris Hotel & Catering Guild	Institutional Bulk Canteens	■ 22.80 Lakhs	16.0%	Agreed 15 days Actual 20 days
Direct Factory Counter & D2C	Cash & UPI Retail	■ 17.10 Lakhs	12.0%	Immediate cash settlement
Total Operating Revenue	All Sales Channels	■ 142.50 Lakhs	100.0%	Weighted Average DSO: 78.4 Days

CRITICAL CREDIT RISK CITATION — CUSTOMER CONCENTRATION: A single counterparty, **Kaveri Hypermarkets Pvt Ltd**, commands **38.0% of total enterprise sales** (■ 54.15 Lakhs). Furthermore, Kaveri Hypermarkets consistently defaults on contractual 30-day payment covenants, stretching receivables to **88 days on average**. Any contractual dispute, procurement margin renegotiation, or delayed payment cycle by Kaveri Hypermarkets directly threatens the company's Cash Credit debt servicing capacity. **Remediation Requirement:** Mandate milestone-based invoice discounting (TReDS) on Kaveri receivables and expand independent retail stockists to cap any single client below 20%.

5. Raw Material Procurement, Supply Chain & Working Capital Analysis

Agricultural commodities (turmeric rhizomes and dry red chillies) exhibit pronounced seasonal harvest procurement peaks between January and April. The enterprise purchases raw stock through the Erode regulated agricultural mandi and Salem auction exchanges.

Supplier Syndicate / Entity	Commodity Sourced	Procurement Value	% Share	Payment Terms Enforced
Salem Valley Farmer Cluster	Turmeric Rhizomes	■ 65.80 Lakhs	72.1% [HIGH CONC.]	Spot Cash / Advance 10 days
Guntur Chilli Trading Syndicate	Dry Red Chillies (Teja)	■ 18.25 Lakhs	20.0%	15 days credit
Dindigul Seed Producers Assn	Coriander & Cumin	■ 7.20 Lakhs	7.9%	Cash on delivery
Total Raw Material Intake	Agricultural commodities	■ 91.25 Lakhs	100.0%	Raw Material Ratio: 64.0% of Sales

6. Cash Credit Facility Pressure & Inventory Buffer Lockup

The enterprise operates a sanctioned **Cash Credit (CC) limit of ■ 20.00 Lakhs** with Canara Bank against hypothecation of stock and book debts. Because raw material procurement requires immediate cash or advance payment while customer collections extend to 78.4 days DSO, the CC facility experienced peak drawing power utilization averaging **92.5% across trailing 12 months**. Additionally, seasonal warehouse buffer stock requires **45.2 days inventory holding** (inventory asset value: ■ 22.8 Lakhs), locking substantial liquidity in warehouse sheds.

SUPPLIER DEPENDENCY CITATION: A single agricultural cooperative, *Salem Valley Farmer Cluster*, supplies **72.1% of raw turmeric intake**. The enterprise holds no secondary formal forward-procurement contracts with alternate agricultural clusters in Dharmapuri or Nizamabad, leaving milling operations exposed to localized harvest failure or supplier cartelization. **Action:** Contract secondary procurement with Dharmapuri Farmer Producer Organizations (FPOs) to bring Salem cluster dependency under 50%.

7. Audited Financial Statements & Post-Expansion Projections

Comparative Profit & Loss accounts spanning FY 2022-23 (Audited), FY 2023-24 (Audited), and FY 2024-25 (Projected post-commissioning) demonstrate stable gross margins and sustainable debt service capability:

Financial Metric / Parameter	FY 2022-23 (Audited)	FY 2023-24 (Audited)	FY 2024-25 (Projected)	Trend & Benchmarks
Gross Revenue from Operations	■ 105.40 Lakhs	■ 142.50 Lakhs	■ 210.00 Lakhs	+47.4% projected jump
Raw Material Consumed (64%)	■ 67.45 Lakhs	■ 91.25 Lakhs	■ 132.30 Lakhs	63.0% of turnover
Direct Factory Wages & Labor	■ 12.10 Lakhs	■ 15.68 Lakhs	■ 21.00 Lakhs	10.0% of turnover
Power, Fuel & Utility Exp.	■ 7.80 Lakhs	■ 9.98 Lakhs	■ 13.65 Lakhs	6.5% of turnover
Gross Profit Margin (■ / %)	■ 23.45 L (22.2%)	■ 31.50 L (22.1%)	■ 48.05 L (22.9%)	Stable ~22-23%
Logistics & Freight Outward	■ 6.20 Lakhs	■ 8.55 Lakhs	■ 11.55 Lakhs	5.5% of turnover
Admin, Marketing & Statutory Exp.	■ 4.10 Lakhs	■ 5.80 Lakhs	■ 7.35 Lakhs	3.5% of turnover
Finance Charges & CC Interest	■ 2.40 Lakhs	■ 2.85 Lakhs	■ 6.10 Lakhs	Includes proposed loan
Depreciation (Plant & Machinery)	■ 4.80 Lakhs	■ 5.04 Lakhs	■ 7.85 Lakhs	Straight line method
Net Operating Profit Before Tax	■ 8.15 Lakhs	■ 11.18 Lakhs	■ 18.05 Lakhs	+61.4% PBT growth
Provision for Corporate Taxes	■ 2.12 Lakhs	■ 2.92 Lakhs	■ 4.69 Lakhs	26% corporate slab
Net Profit After Tax (PAT / NPM)	■ 6.03 L (5.7%)	■ 8.26 L (5.8%)	■ 13.36 L (6.4%)	Target NPM: 6.36%
Debt Service Coverage Ratio (DSCR)	2.45x	2.18x	1.74x	Banking norm >1.50x

Auditor Certificate Note: Figures for FY 2022-23 and FY 2023-24 are audited and attested by M/s R. Srinivasan & Associates, Chartered Accountants (FRN: 004128S). The **FY25 projection of ■ 210.00 Lakhs** assumes a **47.4% top-line expansion**; bank sanction is conditional on firm buyer purchase agreements.

8. Regulatory Compliance, Documentation Gaps & Project Budget

Statutory verification indicates strong baseline credentials but flags one unmitigated regulatory gap in factory safety documentation:

Statutory / Regulatory Clearance	Registration / Reference ID	Status	Compliance Finding & Required Action
Udyam Registration	UDYAM-TN-08-0019284	Active & Verified	Registered under MSME Ministry portal
FSSAI State Manufacturing Lic.	12419008000412	Active (Valid till 2027)	Compliant with Food Safety & Standards Act
GST Filing Compliance	33AAECS8912P1ZA	Filed (Minor Delays)	Regular GSTR-3B filed; 2 delayed filings in Q3 FY24 (paid ₹4,200 fine)
Fire Safety NOC Inspection	District Fire Office, Erode	MISSING / DEFICIT	Warehouse extension constructed without formal Fire Safety NOC inspection
TNPCCB Consent to Operate	Orange Category Lic. 8812	Valid till March 2026	Air & water pollution clearances verified
Provisional FY25 Projections	CA Attestation Certificate	PENDING ATTESTATION	Requires formal CA net-worth and projected P&L; attestation

9. Capital Expenditure Cost Breakdown and Promoter Funding Shortfall

Capital Investment Component	Estimated Cost	Appraised Financing Source & Status
Automated Nitrogen Form-Fill-Seal Packaging Line	₹ 22.50 Lakhs	Proposed Commercial Bank Term Loan
Continuous Vibratory Sifter & Grading Assembly	₹ 7.50 Lakhs	Proposed Commercial Bank Term Loan
Civil Shed Foundation & Transformer Substation	₹ 10.00 Lakhs	Promoter Internal Equity Contribution
Contingency Reserves & Pre-operative Expenses	₹ 5.00 Lakhs	PROMOTER EQUITY SHORTFALL (₹ 5.00 Lakhs Gap)
Total Project Capital Outlay	₹ 45.00 Lakhs	Bank Loan: ₹30.00 L Promoter: ₹10.00 L Deficit: ₹5.00 L

10. Strategic 30/60/90-Day Priority Action Framework

Day 0–30 (Immediate Remediation): (1) Implement TReDS invoice discounting on Kaveri Hypermarkets receivables to liberate ₹18 Lakhs frozen liquidity and pull CC utilization below 75%; (2) Regularize warehouse Fire Safety NOC inspection with District Fire Officer; (3) Formalize promoter ₹5.00 Lakhs shortfall through unsecured family loans or Tamil Nadu NEEDS grant.

Day 31–60 (Supply Chain & Revenue De-risking): (1) Contract secondary raw material supply with 2 Dharmapuri Farmer Producer Organizations (FPOs) to dilute Salem cluster concentration from 72% to under 50%; (2) Introduce automated batch inventory tracking to trim holding cycle from 45 to 30 days.

Day 61–90 (Capacity Expansion & Commercialization): (1) Complete installation and dry-run of nitrogen pouch packaging line; (2) Secure formal distributor appointments across Kerala and Karnataka, lifting branded retail mix to 35%.